

## **LEC11 - Estate Planning**

### **Learning Objectives**

1. Analyze the personal aspects of estate planning
  2. Assess the legal aspects of estate planning
  3. Distinguish among will formats
  4. Appraise various types of trusts and estates
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### **Personal Aspects of Estate Planning**

**Estate Planning:** A definite plan for the administration and disposal of one's property during one's lifetime and at one's death

- Your estate consists of everything you own
  - Used for tax purpose as well as choosing a guardian for your children and avoiding family fights over personal belongings
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### **What is Estate Planning**

- The two components of estate planning are:
    1. Building your estate through savings, investments, and insurance
    2. Transferring your estate, at your death, in the manner you have specified
  - Implemented by a will and trust agreements
  - Knowledge in certain areas and good record-keeping are helpful
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### **Provincial Family Law**

- Getting married will void a will prior to getting married
  - Divorce or separation may affect the validity of all or part of a will
  - Has an impact on your capacity to order the disposition of your will
    - Designed to protect those financially dependant on you
  - If you die without a will (intestate) your estate is distributed through the legal system
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### **Opportunity Cost of Rationalizing**

- Daily living gets in the way of thinking about death
- One rationalization is that you are not sure what information you need to provide
- Think about the outcome of your delay
- Plan your estate while you are in good health

### **Selecting an Executor**

1. Find out if an executor is willing to accept this major responsibility
2. Find out if they are capable
3. If you don't name one, the court will

#### **Responsibilities of an executor include:**

- Preparing an inventory of assets and liabilities
  - Collecting any monies due and paying off any debts
  - Preparing and filing all income and estate tax returns
  - Liquidating and reinvesting other assets to pay off debts and provide income for family
  - Distributing the estate
  - Making a final accounting to beneficiaries and to the probate court
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### **Selecting a Guardian**

**Trustee:** A person who holds or manages property for the benefit of someone else under a trust agreement

- If you have minor children, you need a will to name their guardian
  - A guardian assume the responsibilities for providing the children with personal care and managing the estate for them
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### **Specific Requirements For Wills**

- Any person over the age of majority and of sound mind can draft their own will
  - Testator clearly states full name and residency
  - A new will renders all former wills inapplicable
  - Name all living relatives
  - Make a list of all assets, valuables, and property that you would like to leave to people
  - You must appoint an executor
  - You must sign the will in the presence of two witnesses
  - Keep the will in a secure place

### **Altering or Rewriting Your Will**

- Add a codicil
    - A document that modifies provisions in an existing will
  - Prenuptial agreement
    - Waives rights to each others property that was acquired before the marriage
    - Agree on a settlement if you should divorce
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### **Trusts**

**Trust:** A legal arrangement through which a trustee holds your assets for your benefit or that of your beneficiaries

**Settlor (Grantor):** The creator of a trust

- All trust assets added together are known as an estate

#### **Benefits of Trusts:**

- Reduce estate taxes
- Avoid probate
- Free you from managing assets
- Provide income for a surviving spouse
- Ensure property serve a desired purpose after your death

#### **Types of Trusts**

**Living (Inter Vivos) Trust:** Created and provides benefit while you are alive

**Testamentary Trust:** Established by the creators will that becomes effective on death

**Spousal Trust:** All income from trust must be paid during the spouse's lifetime. Capital cannot be distributed to anyone else during spouses lifetime

### **Pros and Cons of Trusts**

| <b>Pros</b>                                                                                                                                                                                                                   | <b>Cons</b>                                                                                                                                                                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• Renders need to probate redundant</li><li>• More private</li><li>• Easier to change terms</li><li>• Trustee has authority to manage assets in the event you become disabled</li></ul> | <ul style="list-style-type: none"><li>• Must be properly funded</li><li>• Cost of an attorney to set up trust is higher than a will</li><li>• Still need last will and testament</li><li>• Longer time allowed for contesting a trust</li></ul> |

## **Estates**

### **Making an inventory of your estate includes:**

- Cash, bank accounts, GIC's, money market funds
- Stocks, bonds, and mutual funds
- Life insurance, employee benefits, and annuities
- Your home and any other real estate
- Farms, grain, livestock, machinery, and equipment
- Proprietorship, partnerships, and corporate interests
- Notes, accounts, and claims receivable
- Interests, trusts, and receivables
- Antiques, art, collections, cars, etc.

### **Estate Assets Not distributed by a Will**

- Life insurance, annuities, and RRSPs go directly to the named beneficiary
- Assets held in joint tenancy
  - Confers rights of survivorship
- Life insurance and employee benefits
  - Free of income tax
  - Excluded from probate
- Lifetime gifts and trusts

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## **Settling Your Estate**

- If you have a will, the executor will carry out your wishes
- Probate and administrative costs
  - Fees for attorneys, accountants, appraisers, executors, and administrators (3-5%)
  - Probate costs rise with size of estate
- If you die intestate, your estate is distributed according to provincial law
  - Under control of court-appointed administrator